Managing the UK economy: Fiscal and monetary policy since 1945

Seminar 6 – 1968-79: Inflation and the crisis of the post-war settlement

Department of Political Economy • King's College London

Instructor: Daniele Girardi

AY 2026-27

Plan & instructions for the seminar

- *Form pairs*
- *There are 2 parts in the seminar*
- *In each part, you will first spend a few minutes working **individually** to examine the material and form your own view, and then work **in pairs** to compare notes, discuss and build a joint answer.*
- *Feel free to look at slides, lecture notes, Wikipedia, etc. if useful.*

Activity 1 – Incomes policy

Step 1 (Individual – 10 mins):

Working individually, write down a short explanation (e.g., 1/2 short paragraphs, or structured bullet points) of:

- what is meant by ‘incomes policy’
- what are in your view its advantages and shortcomings.
- Overall, do you think that incomes policy played a positive or a negative role in the 1960s and 1970s in the UK?

Activity 1 – Incomes policy

Step 2 (In Pairs – 8 mins):

Compare notes with your partner.

Then discuss what you have written, and especially your views on the pros and cons of incomes policy, and whether it was a good or a bad thing overall.

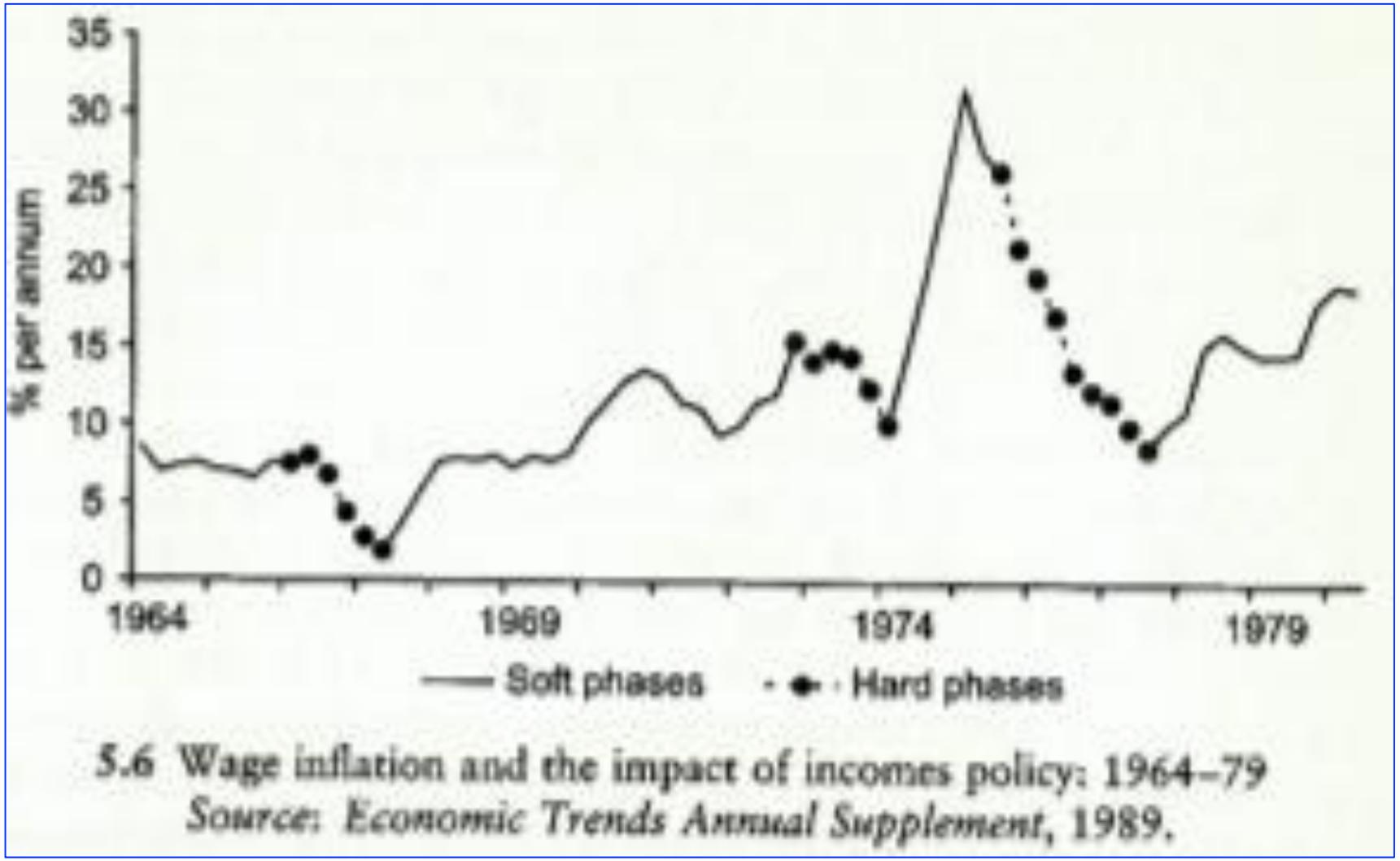
Activity 1 – Incomes policy

Step 3 – General discussion – Share with the class! (~5/7 mins)

- **Premise:** Full employment leads to wage rises, which fuel inflation and undermine international competitiveness, leading to deflationary policies and unemployment.
- **Incomes policy** aims to make full employment compatible with low inflation and BoP equilibrium, so that it can be sustained.
- **Government, trade unions and employers** agree on keeping price and wage increases moderate. Unions obtain commitment to full employment and welfare policies in return.
- Incomes policy attempts to solve a **coordination problem**: individual workers/local unions have incentive to use tight labor market to gain maximum possible wage increases (and employers to grant them to retain workers/avoid strikes). But for the working class as a whole, it is best to moderate wage demands, to make full employment sustainable & durable.

Activity 1 – Incomes policy

Step 3 – General discussion – Share with the class! (~5/7 mins)

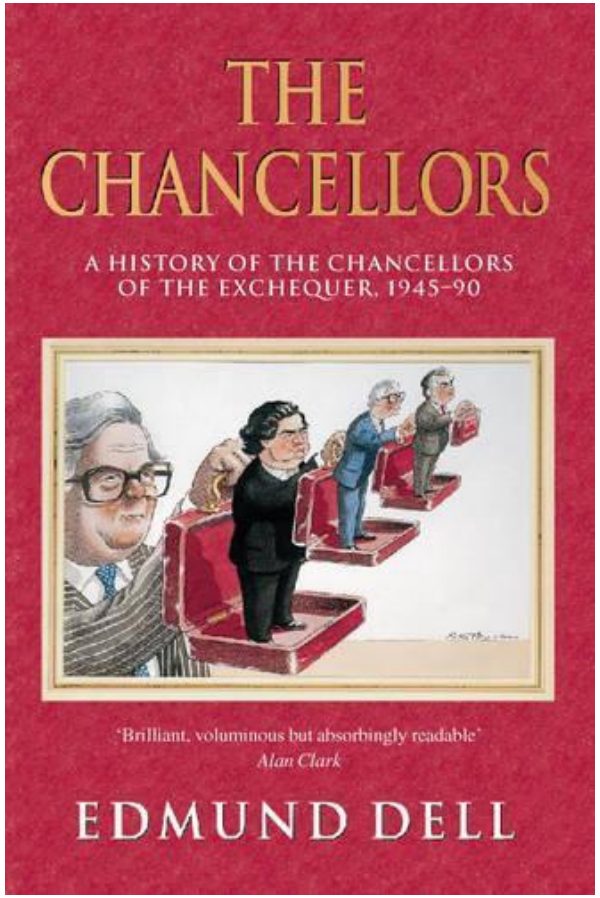


5.6 Wage inflation and the impact of incomes policy: 1964–79
Source: Economic Trends Annual Supplement, 1989.

Activity 2 – The decision not to join the ERM

Step 1 (Individual – 8 mins):

Read pages 439 to 446 of Edmund Dell's "The Chancellors", about the 1979 decision not to join the Exchange Rate Mechanism (ERM) of the European Monetary System (EMS).



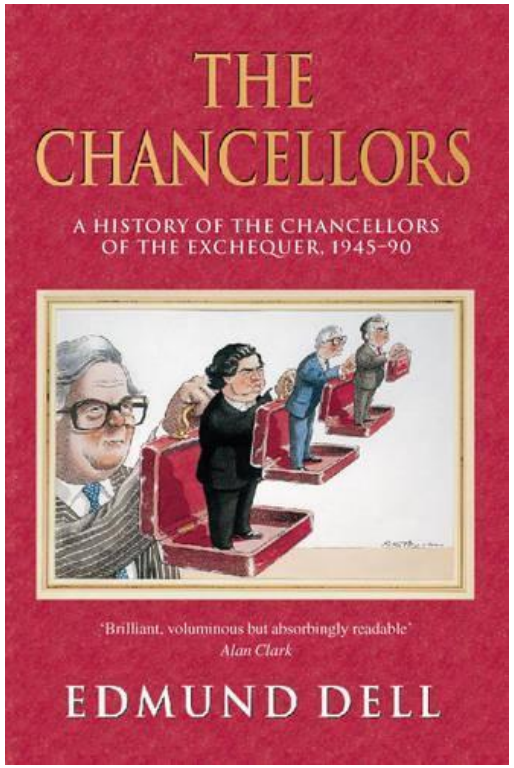
Activity 2 – The decision not to join the ERM

Step 2 (In pairs – 10 mins):

Discuss what you read with your neighbour. In particular:

a. discuss the potential advantages and disadvantages of joining the ERM

b. overall, do you think it was a good decision for the UK to stay out?



Activity 2 – The decision not to join the ERM

Step 3 – General discussion – Share with the class! (~5/7 mins)

- For the UK to benefit from ERM, its inflation would have to be in line with the other members (esp Germany), and its business cycle synchronized enough to sustain similar interest rates.
- Moreover, adjustment mechanisms would have to be in place, where the surplus countries would help the deficit countries maintain the parity during temporary imbalances.
- But UK inflation was systematically higher then Germany, and there was no mechanism for surplus countries to share the burden of adjustment with weak currencies.
- Under these conditions, a UK within the ERM risked new exchange rate crises.
- We can't tell for sure, but both the subsequent history of ERM (with several painful realignments) and the 1990-1993 experience seem to suggest it might have been best for UK to stay out.